

Navigating the New Administration: Impacts and Opportunities (Part 1)

GovWin
from Deltek

Deniece Peterson

Sr. Director, Federal Market Analysis

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Agenda

- » Review: Select Executive Orders
- » Department of Government Efficiency
- » Small Business Implications
- » Federal Budget Scenarios
- » Recommendations
- » Q&A

Select Executive Orders (EOs)

Week 1 Highlights:

Exec Orders/Memos

- » Securing our Borders
- » Protecting The American People Against Invasion
- » Declaring a National Emergency at the Southern Border of the U.S.
- » Clarifying The Military's Role In Protecting The Territorial Integrity of the U.S.
- » Restoring The Death Penalty And Protecting Public Safety
- » Realigning the United States Refugee Admissions Program
- » Reevaluating and Realigning United States Foreign Aid
- » Ending Radical and Wasteful Government DEI Programs and Preferencing
- » Ending Illegal Discrimination and Restoring Merit-based Opportunity
- » Defending Women from Gender Ideology Extremism and Restoring Biological Truth to the Federal Government
- » Return to In-Person Work Hiring Freeze
- » Reforming the Federal Hiring Process and Restoring Merit To Government Service
- » America First Trade Policy
- » Initial Rescissions of Harmful Executive Orders and Action
- » Establishing and Implementing the President's "Department of Government Efficiency"

- » Proclaimed the "invasion" at the southern border is a national emergency requiring the use of the armed services. Establishes new USNORTHCOM strategy to seal the border and Federal Homeland Security Task Forces in each state
- » Required the AG and DHS to pause and review all contracts, grants, or other federally-funded agreements for non-government entities that provide services to "illegal aliens"
- » Paused the U.S. Refugees Admission Program for review
- » Paused foreign aid obligations (including contracts)
- » "Canceled" birthright citizenship
- » Terminated all DEI- and environmental justice-related offices, positions, programs, initiatives and contracts (and lists of contractors providing DEI-related services)
- » Removed affirmative action requirements from federal contracts and directs agency heads to develop new terms for compliance with all anti-discrimination laws and certifications
- » Initiated a 90-day hiring freeze
- » Terminated remote work arrangements for federal employees
- » Required a federal workforce plan to reduce the workforce through efficiency improvements and attrition due in 90 days
- » Initiated various studies into the U.S. trade deficit and potential tariff policy changes
- » Revoked over 70 Biden-era executive orders, including Executive Order 14110 "Safe, Secure, and Trustworthy Development and Use of Artificial Intelligence"
- » Established the structure and first initiative of the DOGE

Funding Pause

OMB Memo: 25-13

OMB Q&A Regarding
Memorandum M-25-13

RESCINDED

REQUIREMENTS:

OMB Memo 25-13: Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs (Jan 27, 2025)

- » Requires agencies to identify and review all federal financial assistance programs and supporting activities for consistency with the President's policies and requirements.
- » During the review, the order requires agencies to **"temporarily pause all activities related to obligation or disbursement of all Federal financial assistance, and other relevant agency activities that may be implicated by the executive orders, including, but not limited to, financial assistance for foreign aid, nongovernmental organizations, DEI, woke gender ideology, and the green new deal."**
- » Excludes assistance provided directly to individuals (such as Social Security, Medicare, Medicaid and SNAP), and funds for Pell grants, small businesses, farmers, Head Start, rental assistance and similar programs
- » Effective on January 28, 2025, at 5:00PM (then delayed by federal judge until 2/3/25)

OMB Q&A Regarding Memorandum M-25-13 (Jan 28, 2025)

- » Clarifies that the pause is not across-the-board; it applies to programs and activities related to Trump's executive orders
- » Clarifies the exclusions
- » States that the action is not an impoundment under the Impoundment Control Act
- » Clarifies the purpose – to ensure that programs operate in accordance to the law and the President's policies.

Funding Pause (CONT)

OMB 25-13 - Temporary Pause of Agency Grant, Loan, and Other Financial Assistance Programs

OMB Q&A Regarding Memorandum M-25-13

CONTRACTOR IMPLICATIONS:

- » Memo rescinded but program review
- » Temporary reprieve from:
 - » Impacts to federal assistance programs supported by contracts
 - » Threat of immediate grant cancellation
- » WH: Funding freeze to continue (with legal challenges)

REQUIREMENTS:

Program Assessment: Mandatory agency form requires answers to specific questions:

- » Does this program provide federal funding to non-governmental organizations supporting or providing services, either directly or indirectly, to removable or illegal aliens?
- » Is this program a foreign assistance program, or provide funding or support activities overseas?
- » Does this program provide funding that is implicated by the revocation and rescission of the U.S. International Climate Finance Plan?
- » Does this program include activities that impose an undue burden on the identification, development or use of domestic energy resources (including through funding under the Inflation Reducing Act of 2022; and the Infrastructure Investment and Jobs Act)?
- » Does this program provide funding that is implicated by the directive to end discriminatory programs, including illegal DEI and “diversity, equity, inclusion, and accessibility” (DEIA) mandates, policies, programs, preferences, and activities, under whatever name they appear, or other directives in the same EO, including those related to “environmental justice” programs or “equity-related” grants?
- » Does this program promote gender ideology?
- » Does this program promote or support in any way abortion or other related activities identified in the Hyde Amendment?
- » If not covered in the preceding columns, does this program support any activities that must not be supported based on executive orders issued on or after January 20, 2025 (including executive orders released following the dissemination of this spreadsheet)?
- » Due February 7, 2025

Agency Actions

DOD

- » Clarification following OMB 25-13 – no freeze on contracts
- » Suspend social media communication for 10 days, effective 1/25/25 (exceptions: southern border operations; base conditions, activities and services; DOD education activities and recruiting activities)
- » Memo establishing the “Restoring America's Fighting Force Task Force” to enforce elimination of DEI and gender ideology

HHS

- » Pause issuance of documents and communications, postpone public speaking engagements and obtain approval for issuing official correspondence

State/USAID

- » Communication to U.S. diplomatic and consular posts to pause all new obligations of funding for foreign assistance programs funded by State and USAID
- » Sec. Rubio signed a waiver to the funding pause for life-saving humanitarian assistance

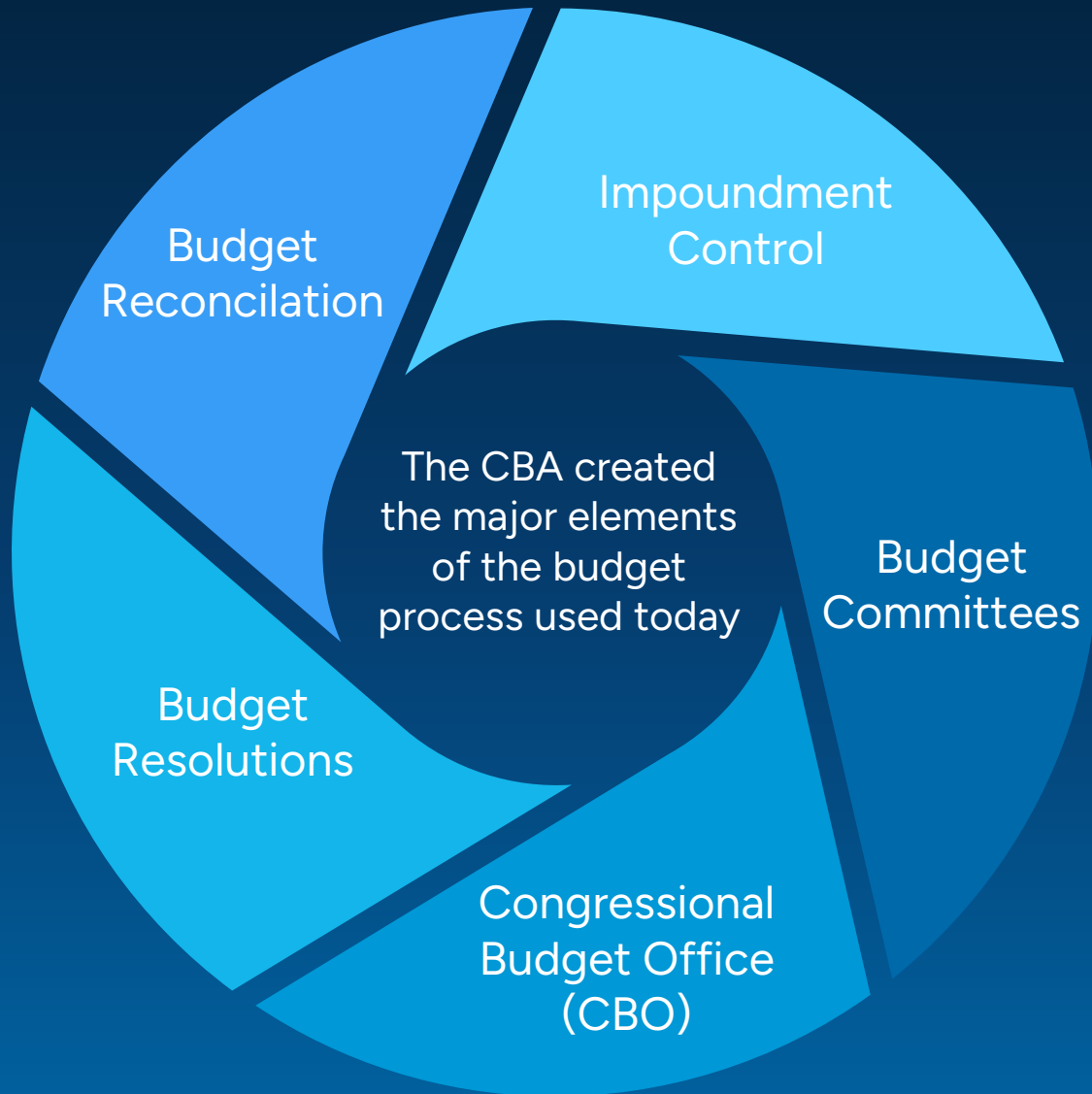
DOE

- » Some reports that Acting Secretary Ingrid Kolb directed a pause contract solicitations, reports and personnel moves
- » Contract procurements of \$100K or more are to be put on hold until further notice

GSA

- » “Acquisition Pause” memo; suspends any new **GSA-funded obligations**, including new awards, task and delivery orders, modifications.
 - » Exceptions: Pres/VP security; FEMA, emergency obligations under \$50K; **awards under the Federal Supply Schedule outside of DEI**, non-zero emission vehicles; contracts supporting GSA Global Supply, and work orders (including AbilityOne follow-on contracts) related to building operations activities

What is the Congressional Budget and Impound Control Act (CBA)?



Other Levers for Funding Control:

- » Reprogram – moving funds from one activity to another within the same budget account (no Congressional approval required)
- » Transfer – moving funds from one budget account to another (requires Congressional notification)
- » Rescind – request to cancel budget authority for fiscal reasons (Congressional approval and legislation required)
- » Defer – temporarily withhold funds within the period of funding availability (requires Congressional approval and cannot be policy-driven)
- » De-obligate – reverse awards for activities not yet legally committed.
- » Terminate – terminate contracts if statute or award terms don't preclude it

Diversity Equity and Inclusion

Keeping Americans Safe in Aviation

Immediate Assessment of Aviation Safety

Restoring America's Fighting Force

Prioritizing Military Excellence and Readiness

CONTRACTOR IMPLICATIONS:

- » Contractors providing DEI-related services will see terminated contracts
- » COs and others deemed "DEI hires" that contractors may be working with could be terminated

REQUIREMENTS:

Aviation

- » Cancels all DEI initiatives and hiring practices
- » Requires the Secretary of Transportation and FAA Admin to:
 - » Review the past performance and performance standards of all individuals in critical safety positions
 - » Take all appropriate action to ensure that any individual who fails or has failed to demonstrate requisite capability is replaced by a high-capability individual that will ensure top-notch air safety and efficiency

Military

- » Eliminates DEI offices, programs, and initiatives
- » Requires a review/report on actions taken in pursuit of DEI initiatives
- » Prohibits DOD and its educational components from DEI-related curriculum
- » Prohibits hiring of employees or contractors for DEI training and education
- » Determines that service members with gender dysmorphia are not fit for military service and requires DOD to update medical standards to reflect this
- » Directs DOD and Coast Guard to end the use of alternative pronoun usage
- » Prohibit males from using or sharing sleeping, changing, or bathing facilities designated for females and vice versa
- » Revokes Executive Order 14004 of January 25, 2021 (Enabling All Qualified Americans To Serve Their Country in Uniform)

Infrastructure/Climate

Unleashing American Energy

OMB Memo 25-11 - Guidance Regarding Section 7 of the Executive Order Unleashing American Energy

CONTRACTOR IMPLICATIONS:

- » No distinction between unobligated and obligated funding
- » Could delay infrastructure projects already in progress or under construction

REQUIREMENTS:

- » Requires review of agency actions that impede the development of domestic energy resources, and develop and implement action plans to suspend, revise or rescind those actions
- » Revokes numerous Biden executive orders aimed at the climate crisis, clean energy, sustainability, implementation of energy and infrastructure provisions of the IIJA and the IRA, and environmental justice.
 - » Requires the termination of any contract, agreement, funds or resources for programs related to the revoked executive orders
- » To speed permitting:
 - » Requires revocation of EO 11991 "Relating to protection and enhancement of environmental quality" (May 1977)
 - » Guidance on regulations to speed energy project and construction permitting (such as for energy transportation and other critical energy infrastructure) and agency policy revisions
- » Disbands the Interagency Working Group (IWG) on the Social Cost of Greenhouse Cases and withdraws related all guidance and documents
- » Terminates the "Green New Deal" by pausing IIJA and IRA funds "including but not limited to funds for electric vehicle charging stations made available through the National Electric Vehicle Infrastructure Formula Program and the Charging and Fueling Infrastructure Discretionary Grant Program"
 - » Review processes, policies, and programs for issuing grants, loans, contracts, or any other financial disbursements.
 - » OMB Memo 25-11: The pause only applies to Sec 2. (which is unclear with the exception of electric vehicle mandates and household appliance)

Technology

- » Initial Rescissions of Harmful Executive Orders and Action
- » Removing Barriers to American Leadership in Artificial Intelligence
- » President's Council of Advisors on Science and Technology

CONTRACTOR IMPLICATIONS:

- » Potential for increased private sector role and influence in federal technology strategies
- » Potential threats to federal and state and local cyber grants
- » Likely increased scrutiny/de-scoping of the Cybersecurity and Infrastructure Security Agency (CISA)
- » Temporary freeze in cyber regulatory policy

Artificial Intelligence

- » Revokes Executive Order 14110 "Safe, Secure, and Trustworthy Development and Use of Artificial Intelligence" (October 30, 2023)
- » Requires development of an AI action plan and "how-to" for federal AI development and implementation within 180 days
- » Requires revisions as necessary to two OMB memos:
 - » [M-24-10](#) "Advancing Governance, Innovation, and Risk Management for Agency Use of Artificial Intelligence"
 - » [M-24-18](#) "Advancing the Responsible Acquisition of Artificial Intelligence in Government)

Cybersecurity

- Funding freeze could impact:
 - Cyber-specific grants (such as the State and Local Cybersecurity Grant Program)
 - Grants with elements for boosting cyber defense
 - Cyber assistance provided in foreign aid grants
 - Grant-funded cyber education and training
 - Cyber contracts supporting financial assistance programs
- All DHS advisory committees dismantled, including the Cybersecurity Safety Review Board (CSRB)

President's Council of Advisors on Science and Technology (PCAST)

- To provide advice and evidenced-based recommendations informed by the latest scientific discoveries and technological advancements
- Agencies to provide scientific and technology information as requested

National Security

The Iron Dome for America

CONTRACTOR IMPLICATIONS:

- » Potential increase in or reprogramming of defense spending
- » Contractor support for hypersonics, kinetic weapons, interceptors, R&D and other defense capabilities

REQUIREMENTS:

Requires a reference architecture, capabilities-based requirements, and an implementation plan for the next-generation missile defense shield, to include:

- » Defense against ballistic, hypersonic, advanced cruise missiles, and other next-generation aerial attacks;
- » Hypersonic and Ballistic Tracking Space Sensor layer
- » Proliferated space-based interceptors capable of boost-phase intercept
- » Underlayer and terminal-phase intercept capabilities postured to defeat a countervalue attack
- » Custody layer of the Proliferated Warfighter Space Architecture
- » Capabilities to defeat missile attacks prior to launch and in the boost phase
- » Secure supply chain for all components with next-generation security and resilience features
- » Non-kinetic capabilities to augment the kinetic defeat of ballistic, hypersonic, advanced cruise missiles, and other next-generation aerial attacks
- » Updated assessment of the strategic missile threat
- » A prioritized set of locations for defense
- » Review of theater missile defense postures to identify ways for US and its allies to increase cooperation, improve defense of forward-deployed troops and increase/accelerate provision of US missile defense capabilities to allies and partners.

Education

Expanding Educational Freedom and Opportunity for Families

Ending Radical Indoctrination in K-12 Schooling

CONTRACTOR IMPLICATIONS:

- » Potential implications for SLED contractors if demand for educational products and services begins to shift to private/alternative schools
- » Threatens SLED funding, which will tighten budgets used for contracting
- » Potential demand to revise education outreach products and services for national parks, monuments, etc.

REQUIREMENTS:

Expanding Educational Freedom and Opportunity for Families

- » Requires guidance for states' use of fed formula grants to support K-12 school choice initiatives
- » Requires Education to review discretionary educational grant programs
- » Requires HHS to provide guidance on whether/how states receiving block grants for families and children (including the Child Care and Development Block Grant (CCDGB)), can use to expand educational choice
- » Requires DOD to review mechanisms to allow military-connected families to use DOD funds to attend schools of their choice (ready to implement beginning in the 2025-26 school year)
- » Requires Interior to review mechanisms to allow families of students in Bureau of Indian Education schools to use fed funding for school choice

Ending Radical Indoctrination in K-12 Schooling

- » Blocks funding for schools and educational service agencies that support "discriminatory diversity ideology" and "gender ideology"
- » Requires an "ending indoctrination strategy" that assesses:
 - » Funding sources and streams, **including grants and contracts**, that support or subsidize such instruction in K-12 curriculum and teacher certification
 - » Agencies' processes for preventing or rescinding funds from schools
 - » Interference with parental rights to school curriculum, records, surveys, etc
 - » Relevant enforcement tools.
- » Requires the AG to coordinate with state AGs and local DAs to file actions against teachers and schools who sexually exploiting minors, unlawfully practice medicine by offering diagnoses without requisite licenses, or facilitate the social transition of a student.
- » Reestablishes the 1776 Commission (funded and resourced by the Dept of Educ) to ensure "patriotic education" at national parks, battlefields, monuments, museums, installations, landmarks, cemeteries, etc.

Tariff Increases

The Trump Administration announced tariff increases for Mexico, Canada and China to begin February 4, 2025 via three executive orders:

- » Imposing Duties to Address the Situation at Our Southern Border
- » Imposing Duties to Address the Synthetic Opioid Supply Chain in the People’s Republic of China
- » Imposing Duties to Address the Flow of Illicit Drugs Across Our Northern Border

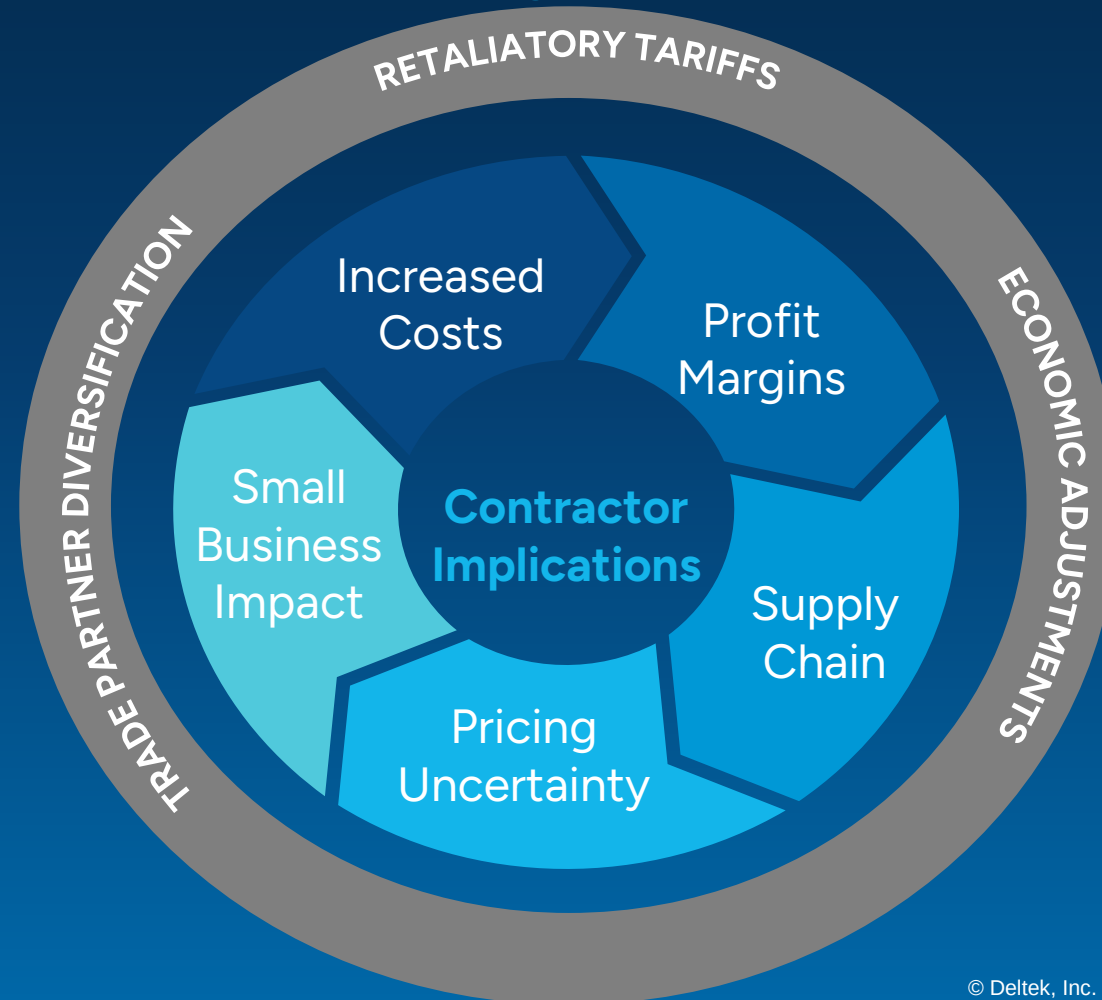
The administration threatens additional actions if Canada, Mexico and China retaliate.

25%
Add'l tariffs on
Canada

25%
Add'l tariffs on
Mexico
30-day pause

+10%
Add'l tariffs
on China

Potential Trading Partner Responses



Workforce

Agency Return to Office Implementation Plans

GUIDANCE:

- » Agencies were to have notified employees of intent to comply with return to work orders by 1/24/25
- » Requires agencies to submit plans to OMB and OPM for review and approval no later than **Friday, Feb 7 at 5pm**. Plans must describe:
 - » Steps taken to revise telework agreements
 - » Timelines for return (including date of full compliance)
 - » Steps to determine permanent worksites for eligible employees teleworking full-time (i.e. “remote workers”)
 - » The cost and resource implications for when duty stations are >50 miles from current worksite
 - » Risks and barriers to executing the plan and mitigation strategies
 - » Process and criteria for approving exemptions
- » Agencies can prioritize employees who can get back into office quickly and phase in those that need a change in duty station
- » Agencies must maximize use of existing federally-owned or leased space for adding new space
- » Agencies should consider grouping orgs and employees based on similar duties/functions when determining new duty stations

US DOGE Service

Establishing and Implementing the President's "Department of Government Efficiency"

CONTRACTOR IMPLICATIONS:

- » Implications for SW vendors, depending on strategies recommended.
- » May result in increased demand for IT infrastructure, software, systems development, data management, and other IT products and services.
- » The temporary organization will likely look for other gov-wide cost savings and efficiencies, including in procurement

REQUIREMENTS:

- » Renames the **United States Digital Service as the United States DOGE Service** (USDS) and establishes a USDS Administrator, to sit in the Executive Office of the President
- » Establishes the **U.S. DOGE Service Temporary Organization** within the new USDS, which will terminate on 7/4/26
- » Each agency must establish a DOGE team of at least 4 employees hired or assigned within 30 days, to include one DOGE Team Lead, one engineer, one human resources specialist, and one attorney
- » Requires USDS to establish a **Software Modernization Initiative** to improve the quality and efficiency of government-wide software, network infrastructure, and information technology (IT) systems.
 - » The USDS Administrator will work with agencies to promote interoperability, data integrity and data collection and synchronization.
- » Agency heads must ensure that the USDS Admin has full and prompt access to all unclassified agency records, software systems, and IT systems.

US DOGE Service - Deferred Resignation for Federal Workers ("Fork in the Road")

IMPLEMENTATION

OVERVIEW

- » Offers employees who can't/won't comply with workforce orders a "deferred resignation"
 - » Effective January 28 and available to all federal employees until February 6
- » Allows them to paid administrative leave regardless of workload
- » Exempts them from in-person work requirements until 9/30/25
- » Can accept by replying "Resign" to the email.

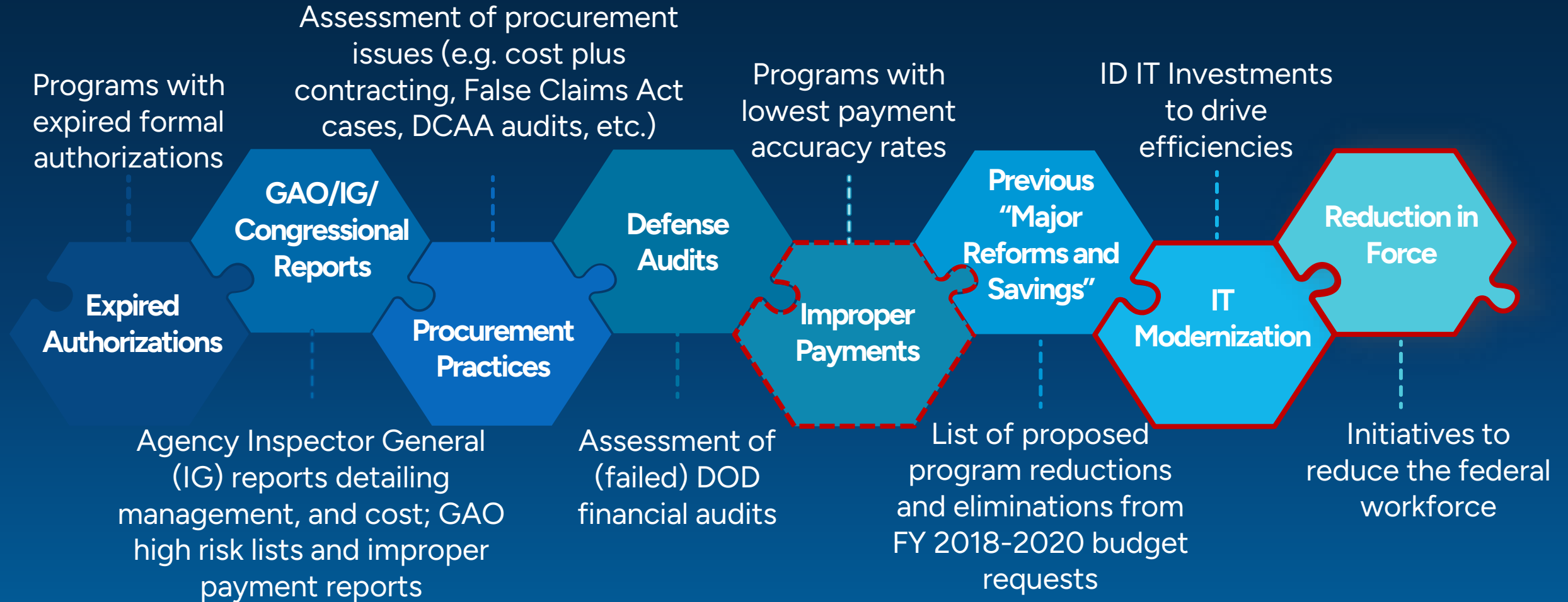
- » Employees who accept deferred resignation should promptly have their duties re-assigned or eliminated and be placed on paid administrative leave until the end of the deferred resignation period (no later than September 30, 2025) unless the agency head determines they're still needed for transitioning job duties.
- » Requires weekly reporting through 9/30/25:
 - » Number of employees who offered resignation under this initiative
 - » Number of employees in deferred resignation that are administrative leave
 - » Number of employees who applies for early/normal retirement since 1/27/25
 - » Number of employees who have actually resigned (and whether they had previously submitted a deferred resignation) since 1/27/25
 - » Number of applications to extend the deferred date beyond 9/30/25
 - » Roles and number of personnel excluded by your agency from the deferred resignation program

ISSUES

- » Email originates from unvetted server
- » No formal FY 2025 budget; CR until March 14
- » Random and unpredictable departures and knowledge loss
- » Potential violation of law
- » Email does not provide a legally binding contract regarding pay, benefits, etc.
- » Implications for unemployment benefits

Potential DOGE Program Savings Targets

Given public statements to date, the broader DOGE agenda would include review of several other resources to identify potential areas for reduction or elimination:



DOGE: Contractor Implications

- » Terminated or modified contracts
- » Legal challenges to revisions and eliminations conducted under rapid timelines (challenges the accuracy and thoroughness of reviews)
- » Potential budget priority and acquisition strategy shifts and in agencies targeted by the Trump Administration, including Education, EPA, Interior, IRS, HUD and USDA.
- » Possible disruption to the procurement process due to fewer contracting officers and compliance reviews.
 - » Loss of gains in improving Procurement Administrative Lead Times (PALT)
- » Changes to federal personnel (e.g., contracting, project management) with which contractors will engage
- » Potential contract opportunities to fill gaps from workforce reductions
- » New demands for office space, IT, maintenance and other goods and services to support returning
- » Likely prioritization of defense spending, cybersecurity, AI, border security and immigration, and some infrastructure projects
- » Potential changes to compliance requirements
- » Potential opportunity to apply process improvements and technology (such as AI and machine learning) to help identify improper payments and drive efficiency over the long term

Small Business Implications

What About the 8(a) Program?

The 8(a) program has legislative protection, but new agency leadership can impact program execution.

The 8(a) program (including Alaska Native Corporation participation) is mandated by Congressional statute and cannot be eliminated by executive order.

Racial components of the rebuttable presumption of social disadvantage were eliminated after the Ultima and Mid-America cases.

Agencies like the speed and relative simplicity (\$21.5B in FY 2022 to \$25.6B in FY 2024).



High potential for administration to ignore legal restrictions

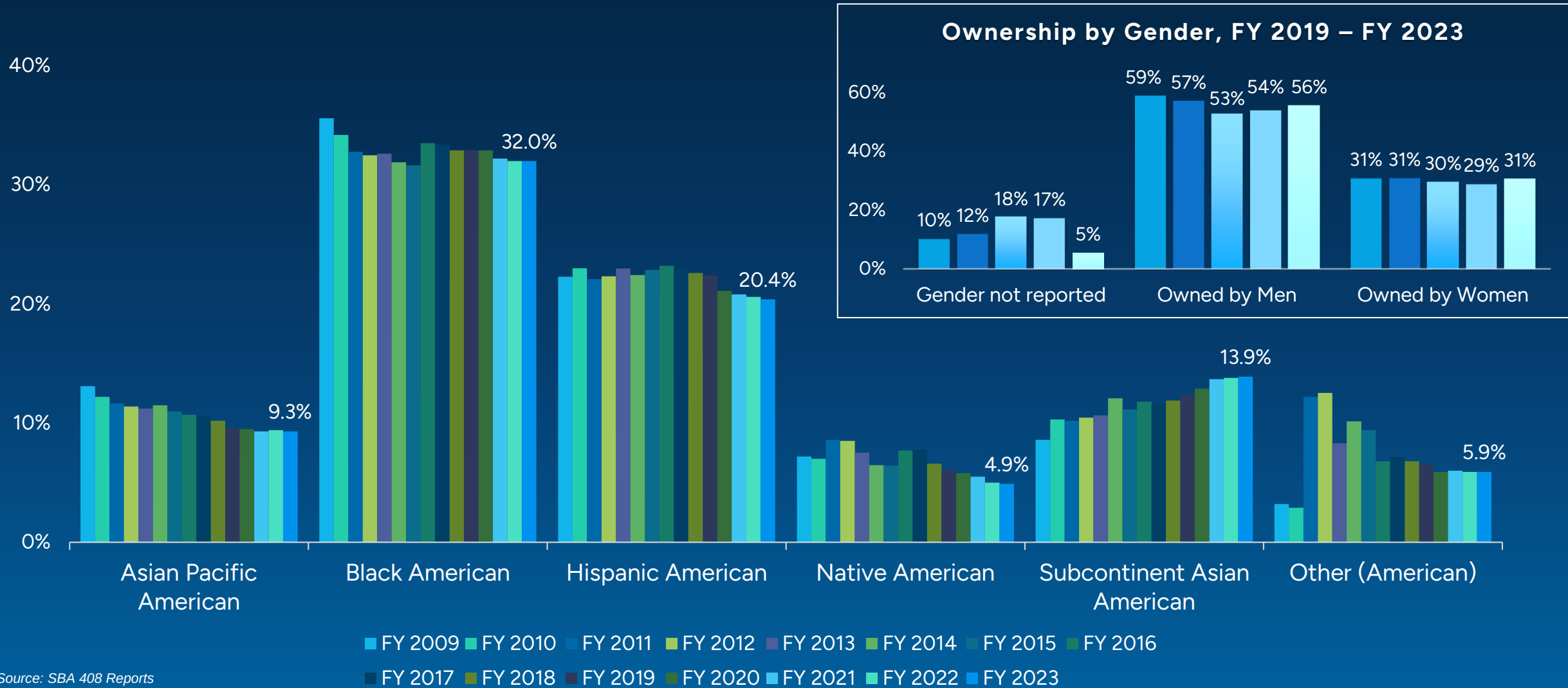
Resource restrictions
» Budget cut
» Staff reduction

Changes to program administration
» Outreach
» Increased scrutiny and/or reporting

Less emphasis in agency procurement strategies
» Changes to SB goals
» Changes to guidance

What About 8(a)s?

INDIVIDUAL 8(a) Ownership by Race, Ethnicity and Gender, FY 2009-2023



Source: SBA 408 Reports

FY 2025 Revised Small Business Targets

Agency Name	FY 2025 Small Business Targets					
	SB	SDB	SDVOSB	WOSB	HUBZone	Subcont.
DOD	23.17%	5.0%	5.0%	5.0%	3.0%	30.0%
HHS	24.50%	5.0%	5.0%	5.0%	3.0%	23.0%
VA	29.00%	5.0%	5.0%	5.0%	3.0%	10.3%
Energy	17.03%	5.0%	5.0%	5.0%	3.0%	49.0%
DHS	36.50%	5.0%	5.0%	5.0%	3.0%	47.0%
NASA	18.30%	5.0%	5.0%	5.0%	3.0%	40.9%
State	34.50%	5.0%	5.0%	5.0%	3.0%	50.8%
USDA	58.00%	5.0%	5.0%	5.0%	3.0%	22.0%
Justice	33.00%	5.0%	5.0%	5.0%	3.0%	36.0%
Transportation	34.00%	5.0%	5.0%	5.0%	3.0%	43.0%
Treasury	36.75%	5.0%	5.0%	5.0%	3.0%	25.0%
USAID	14.50%	5.0%	5.0%	5.0%	3.0%	30.7%
Commerce	37.80%	5.0%	5.0%	5.0%	3.0%	57.8%
GSA	34.90%	5.0%	5.0%	5.0%	3.0%	23.0%
Interior	50.61%	5.0%	5.0%	5.0%	3.0%	45.9%
Education	17.00%	5.0%	5.0%	5.0%	3.0%	39.5%
Labor	38.61%	5.0%	5.0%	5.0%	3.0%	65.4%
SSA	37.00%	5.0%	5.0%	5.0%	3.0%	55.0%
SBA	72.00%	5.0%	5.0%	5.0%	3.0%	44.0%
EPA	46.40%	5.0%	5.0%	5.0%	3.0%	50.0%
HUD	23.15%	5.0%	5.0%	5.0%	3.0%	28.0%
OPM	47.25%	5.0%	5.0%	5.0%	3.0%	40.9%
NRC	43.00%	5.0%	5.0%	5.0%	3.0%	40.0%
NSF	30.82%	5.0%	5.0%	5.0%	3.0%	23.5%

Executive Order 13985, “Advancing Racial Equity and Support for Underserved Communities Through the Federal Government” directed annual increases in the SDB prime contracting goals to reach 15% by FY 2025.

The Trump Administration revoked this order on January 20, 2025 and has since rolled targets back to 5% (in line with pre-2021 levels).

Small Business Policy to Watch

Category Management

- » Multiple-Award Contract (MACs) Set-asides
- » On-Ramps
- » Under Simplified Acquisition Threshold (SAT) Opportunities:
- » Small business Goals vs. BICG goals

Rule of Two for Task and Delivery Orders

- » Set asides under MACs when there is a reasonable expectation of obtaining offers from two or more small business contract holders that are competitive in terms of market prices, quality and delivery
- » Applicable to ALL purchases (not just new awards)
- » removal of Off-Ramping small businesses

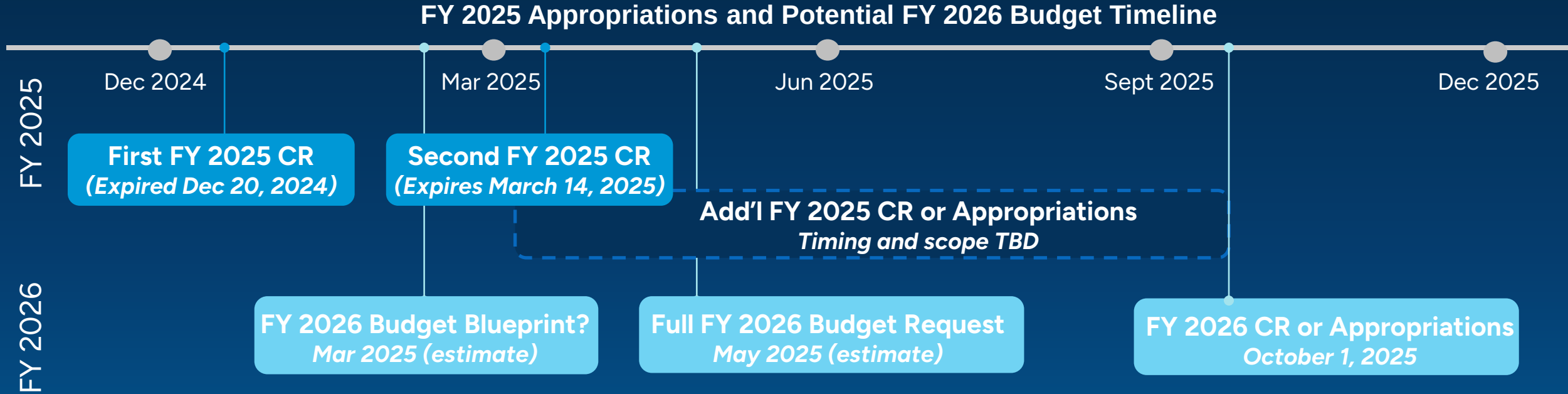
Mentor-Protégé Joint Venture

- » Scenario 1: Eliminate the affiliation exemption, making joint ventures ineligible for MACs
- » Scenario 2: Retain the affiliation exemption only for MPJVs for contracts or orders that do not exceed 5 years

Federal Budget Scenarios

Potential Budget and Appropriation Timeline

President Trump may choose to delay the FY 2026 budget submission to develop his own full budget, as he did during his first administration for the FY 2018 budget. For that cycle, the administration submitted an FY 2018 budget “blueprint” in March 2017 and a full budget in May 2017. If the Trump Administration chooses a similar route for the FY 2026 budget, there may not be a full budget submission until well into 2025.



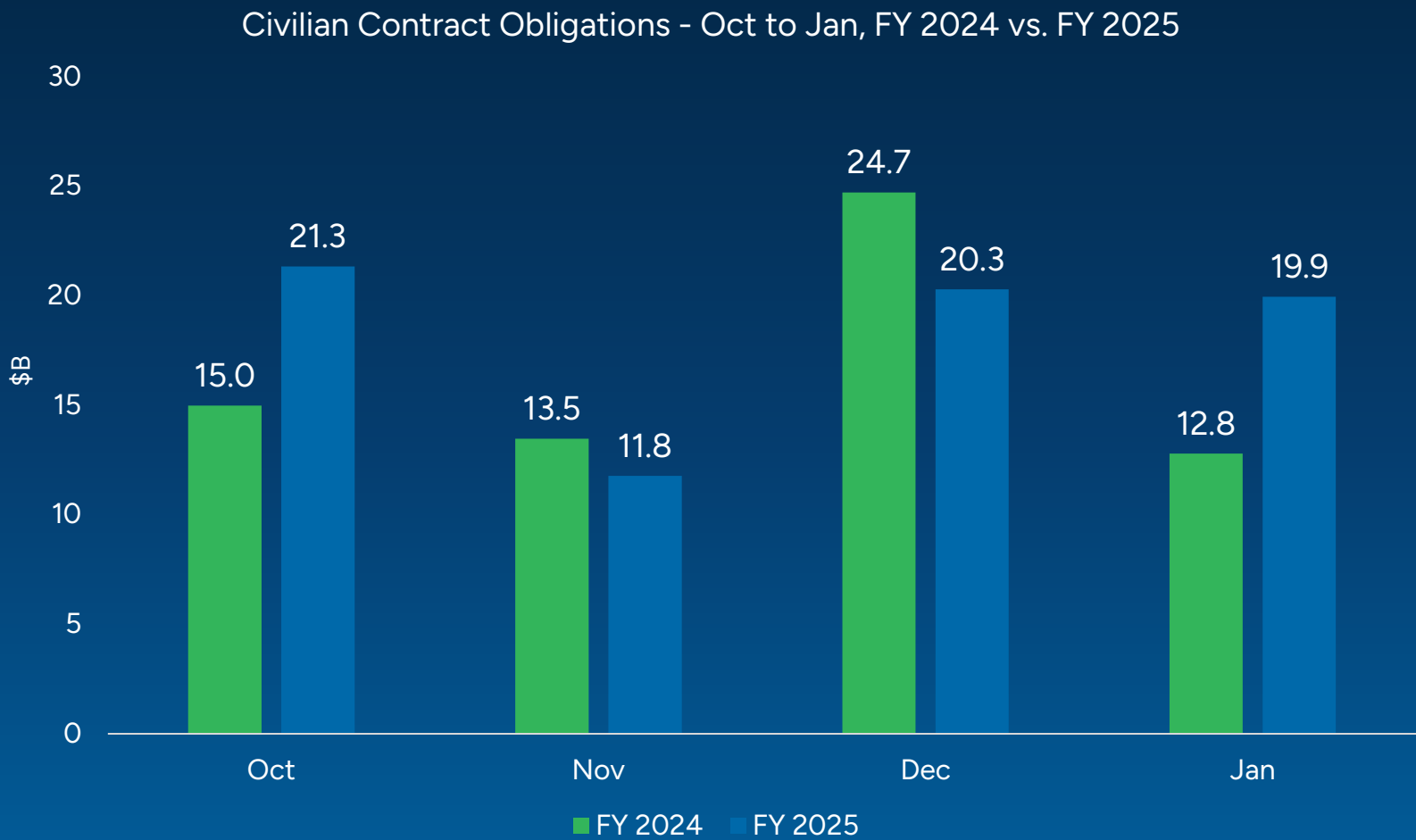
FY 2025 Appropriations

- » Pass full-year FY 2025 appropriations within the current Congress before the current CR March 14 expiration. This could include passing all 12 individual bills, a government-wide omnibus, or two or more “minibuses” that cover all agencies.
- » Pass one or more additional CRs through the end of FY 2025.

FY 2026 Budget

If Trump follows the two-stage model, a stage-one blueprint could include proposed changes to current FY 2025 budgets, which would need to be approved by Congress. This could be done separately, or as part of final FY 2025 appropriations, if they remain unresolved.

Q1 Contract Spend (YTD) – FY 2025 vs. FY 2024



**Data pulled on Feb 3, 2025*
Source: FPDS, Deltek

1,018
Total Terminated Contracts
(since January 19, 2025)

85
Terminated DEI Contracts

12
Terminated Climate Contracts

Recommendations

- » Keep working unless formally directed otherwise
- » Review contract/grant terms for “pause” clauses, and obtain legal advice to develop strategies for handling stop work orders or funding pauses
- » Ensure comprehensive strategies for documenting costs and work product; communicating with contracting officers, subcontractors and personnel; and assessing legal implications.
- » Develop strategies to address issues impacting contract performance, schedule and cost management to weather any scrutiny initiated by the DOGE initiative
- » Reassess and refine pricing strategies to prepare for potential increases in supply chain and labor costs.
- » If possible, negotiate contracts with equitable price adjustments to offset higher costs driven by inflation and trade policy
- » Shore up teaming relationships that can assist your organization in winning awards on preferred GWACs/MACs, particularly those pending award that represent consolidated requirements.
- » Stay informed of executive orders and other presidential actions to assess implications for budgets, spending and acquisition policy.

Thank You

Q&A

